

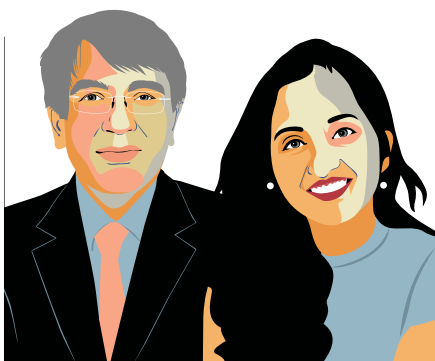
India's Workforce Challenge

To create 400 million jobs, India needs to reimagine the challenge as one of employed poverty rather than unemployment. High wages need high productivity employers

I**N 1867, REFORMER** Bholanath Chandra wrote, “A widely diffused enterprising spirit is always the antecedent to that widely diffused national prosperity, through which alone can our nation ever hope to occupy a conspicuous position in the eyes of mankind. Such was the state of India once, and such ought to be the state of India again”.

We believe India's enterprising spirit is held back by regulatory cholesterol and are confident that three reforms—decriminalisation, digitisation, and rationalisation—will increase our population of employers with the productivity to pay high wages and take India to its rightful place among prosperous and democratic nations.

History suggests that there are no poor people; just people in poor places; most of your wages are determined by where you live (country, state and city) and where you work (sector, company, and skill). India's challenge is simple: our mass prosperity is held back by wages rather than jobs, high wages are held back by a shortage of non-farm employers with high productivity (our 63 million enterprises only translate to 28,000 companies with a paid-up capital of more than ₹10 crore) and this employer population is



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held back by compliances/filings/jail provisions (over 85,000), irrational workflows (too many people, departments, and governments involved) and subjectivity in interpretation (show me the person, I'll show you the rule).

This toxic brew breeds the corruption, uncertainty, and informality that make India poor. But this could change by digitising, rationalising, and decriminalising our regulatory cholesterol.

The digitisation reform vector needs a National Employer Compliance Grid (NECG) inspired by the architecture of our Digital Public infrastructure as applied to UPI (RBI's initial target of a billion transactions a month has now been revised to a billion transactions a day). The NECG will facilitate seamless information exchange between employers and governments via an ecosystem of regulatory tech providers. This will include filing periodic returns to issuing licences, registrations, permissions, NOCs, and consent orders.

NECG requires two digital enablers: enterprise Aadhaar and enterprise DigiLocker. Entrepreneurs currently grapple with more than 23 distinct identities issued by various governments with their own life-cycles and periodic actions such as payments and renewals. The inability to extract compliance data across diverse and distributed data sources